Note 3 Subsidiaries and goodwill

In the spring of 2024, Coop Finants AS merged with its parent company Coop Pank AS. With registration of the merger in the Estonian Commercial Registry, all the assets, rights and obligations of Coop Finants AS were transferred to Coop Pank AS, incl. goodwill recognised from the subsidiary Coop Finants AS acquisition in May 2017. Goodwill includes synergies and intangible assets that were not separately identified. The goodwill is primarily attributable to the profitability of the acquired business, the significant synergies and combined cost savings expected to arise. Goodwill is allocated to the segment of consumer financing. Goodwill as at 31.12.2025 was 6,757 thousand euros (31.12.2024: 6,757 thousand euros).

As at 31.12.2025 and 31.12.2024 goodwill was tested for impairment. Value-in-use calculations are based on the following assumptions:

- forecast period 5 years (2024: 6 years)
- estimated growth in the volume of loan portfolio is 13-15% per year (2024: 8-11%)
- average increase in net income is 14% per year (2024: 9%)
- average increase in expenses is 5% per year (2024: 5%)
- average loan impairment loss is 2.4% per year (2024: 2.4%)
- weighted average cost of capital of 9% is used as cash flow discount rate (2024: 9%)
- terminal growth rate used is 2% (2024: 2%)

While using these key assumptions, management relied on their best estimation of probable expectations. The value-in- use test indicated that the recoverable value of the cash-generating unit exceeds the carrying amount and consequently no impairment losses have been recognised. Based on the assessment of reasonably possible changes for key assumptions, the management has not identified any instances that could cause the carrying amount of cash-generating unit to exceed its recoverable value.

Note 4 Operating segments

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. Profitability of the segments is measured by profit before income tax. The chief operating decision-maker, who is responsible for allocating resources and assessing the performance of the operating segments, is the management board of the Parent Company.

The Group divides its business into segments based on the legal structure and the product- and customer-specific distribution within the Bank. According to the legal structure, the Group has a leasing and insurance brokerage segment that provides leasing products and insurance brokerage services to both private and corporate customers, respectively. The leasing segment earns interest income from lending. Insurance brokerage earns revenue on intermediating insurance contracts.

Due to the Bank's product-based division, the Group distinguishes the consumer financing segment. The consumer financing segment provides consumer loans and hire-purchase cards to private customers. The segment earns interest incomes from lending and fee commissions from issuing hire-purchase cards.
Due to the Bank’s customer-based division, the Group has both corporate banking (legal entities) and retail banking (private individuals) segments. Both segments offer money transferring products and loan products to customers, as well as gathering deposits. The segments earn interest income from lending and commissions fees from settlement of payments and bank card transactions.

Segments are the basis for regular monitoring of business results by the Group's management and Supervisory Boards, and separate financial data is available for the segments. According to the Group's structure, the Group also divides the corporate banking and retail banking segments into more detailed business lines of loans and everyday banking (deposits, settlements). The Group also uses business lines for planning and budgeting, but business lines are not defined as separate segments.

Revenue reported by a segment consists of revenue from external customers and additional interest income or interest expense on intersegment borrowing, which is based on the internal transfer pricing model in the Group and is shown as elimination in the tables below. The Group does not have any customers whose income would account for more than 10% of the respective type of income. The geographical breakdown of interest income is shown in Note 5. The geographical breakdown of commission fees is shown in Note 6.

Segment profits in 2025, in thousands of euros	Corporate banking	Retail banking	Consumer financing	Leasing	Other*	Elimination	Total
Interest income	60,534	44,383	13,650	10,008	24,713	-26,944	126,344
Incl. external income	54,187	38,032	13,650	10,008	10,467	0	126,344
Incl. internal income	6,347	6,351	0	0	14,246	-26,944	0
Interest expenses	-24,926	-22,799	-2,899	-5,202	-24,193	26,944	-53,075
Net interest income	35,608	21,584	10,751	4,806	520	0	73,269
Fee and commission income	2,063	4,495	481	184	1,135	0	8,358
Fee and commission expense	-683	-3,010	-40	-6	-74	0	-3,813
Net commission income	1,380	1,485	441	178	1,061	0	4,545
Net other income	138	351	204	657	192	0	1,542
Net income	37,126	23,420	11,396	5,641	1,773	0	79,356
Payroll expenses	-9,011	-9,061	-2,635	-2,248	-1,451	0	-24,406
Operating expenses	-3,378	-4,102	-1,593	-1,106	-651	0	-10,830
Depreciation	-1,981	-2,362	-1,145	-606	-161	0	-6,255
Total operating expenses	-14,370	-15,525	-5,373	-3,960	-2,263	0	-41,491
Profit before loss allowances and tax	22,756	7,895	6,023	1,681	-490	0	37,865
Credit loss allowance	-746	-268	-2,064	-221	0	0	-3,299
Profit before tax	22,010	7,627	3,959	1,460	-490	0	34,566
Income tax expense	-3,847	-1,326	-668	0	-1	0	-5,842
Net profit	18,163	6,301	3,291	1,460	-491	0	28,724

Fee and commission income allocation 2025, in thousands of euros	Corporate banking	Retail banking	Consumer financing	Leasing	Other*	Elimination	Total
Fees from cards	476	2,926	1	0	0	0	3,403
Monthly account fees and transaction fees	352	1,205	0	0	0	0	1,557
Insurance brokerage commission	0	0	480	0	1,083	0	1,563
Foreign exchange transactions	35	4	0	0	38	0	77
Other fee and commission income	1,200	360	0	184	14	0	1,758
Total fee and commission income	2,063	4,495	481	184	1,135	0	8,358

Assets and liabilities as at 31.12.2025, in millions of euros	Corporate banking	Retail banking	Consumer financing	Leasing	Other*	Elimination	Total
Loan portfolio	977	854	103	180	665	-665	2,114
Other assets	235	206	34	45	69	0	589
Total assets	1,212	1,060	137	225	734	-665	2,703
Total liabilities	1106	969	125	205	728	-665	2,468

*Other includes treasury, subsidiaries Prana Property and Coop Kindlustusmaakler. The distribution of interest income and commission income by products is presented in Note 5 and 6.

Segment profits in 2024, in thousands of euros	Corporate banking	Retail banking	Consumer financing	Leasing	Other*	Elimina-tion	Total
Interest income	60,573	49,466	13,998	12,172	25,403	-22,917	138,695
Incl. external income	54,455	42,228	13,998	12,172	15,842	0	138,695
Incl. internal income	6,118	7,238	0	0	9,561	-22,917	0
Interest expenses	-25,425	-24,471	-3,511	-6,224	-24,411	22,917	-61,125
Net interest income	35,148	24,995	10,487	5,948	992	0	77,570
Fee and commission income	1,640	4,107	767	268	1,117	0	7,899
Fee and commission expense	-675	-2,696	-111	-6	-53	0	-3,541
Net commission income	965	1,411	656	262	1,064	0	4,358
Net other income	95	250	222	157	-769	0	-45
Net income	36,208	26,656	11,365	6,367	1,287	0	81,883
Payroll expenses	-8505	-8646	-2688	-2297	-1275	0	-23,411
Operating expenses	-3416	-4390	-1988	-1242	-677	0	-11,713
Depreciation	-1654	-2099	-1063	-520	-116	0	-5,452
Total operating expenses	-13,575	-15,135	-5,739	-4,059	-2,068	0	-40,576
Profit before loss allowances and tax	22,633	11,521	5,626	2,308	-781	0	41,307
Credit loss allowance	-1,231	-525	-2,704	-183	0	0	-4,643
Profit before tax	21,402	10,996	2,922	2,125	-781	0	36,664
Income tax expense	-2,715	-1,398	-360	0	-13	0	-4,486
Net profit	18,687	9,598	2,562	2,125	-794	0	32,178

Fee and commission income allocation 2024, in thousands of euros	Corporate banking	Retail banking	Consumer financing	Leasing	Other*	Elimina-tion	Total
Fees from cards	477	2,419	323	0	0	0	3,219
Monthly account fees and transaction fees	277	1,214	0	0	0	0	1,491
Insurance brokerage commission	0	0	444	0	1,061	0	1,505
Foreign exchange transactions	41	2	0	0	45	0	88
Other fee and commission income	845	472	0	268	11	0	1,596
Total fee and commission income	1,640	4,107	767	268	1,117	0	7,899

Assets and liabilities as at 31.12.2024, in millions of euros	Corporate banking	Retail banking	Consumer financing	Leasing	Other*	Elimina-tion	Total
Loan portfolio	872	729	98	178	427	-530	1,774
Other assets	158	149	28	36	44	0	415
Total assets	1,030	878	126	214	471	-530	2,189
Total liabilities	940	794	114	193	466	-530	1,977

*Other includes treasury, subsidiaries CP Varad, Prana Property and Coop Kindlustusmaakler.
The distribution of interest income and commission income by products is presented in Note 5 and 6.

Note 5 Net interest income

	Note	2025	2024
Interest income calculated using effective interest method:			
Loans to legal entities	11	52,836	53,244
Consumer loans and hire-purchase loans	11	13,725	14,047
Other loans to private individuals	11	37,957	42,087
Bonds	10	1,916	1,385
Other assets	9	8,907	14,575
		115,341	125,338
Other similar interest income:			
Leasing	11	11,003	13,357
Total interest income and income similar to interest		126,344	138,695
Customer deposits	15	-41,487	-55,617
Loans received	16	-236	-240
Subordinated debt	19	-4,934	-5,022
Debt securities	17	-6,425	0
Derivatives - fair value hedging	2	226	0
Lease liabilities	14	-219	-246
Total interest expenses		-53,075	-61,125
Net interest income		73,269	77,570

In 2025, the Group earned 98% of interest income from Estonian residents and 2% from residents of other countries (mostly EU countries). This ratio remains unchanged YoY.
The distribution of interest income by operating segments is presented in Note 4.
Loan portfolio is presented in Note 11.

Note 6 Fee and commission income

	2025	2024
Fees from cards	3,403	3,219
Monthly account fees and transaction fees	1,557	1,491
Insurance brokerage commission	1,563	1,505
Foreign exchange transactions	77	88
Other fee and commission income	1,758	1,596
Total fee and commission income	8,358	7,899
Expenses related to cards	-2,556	-2,449
Transaction costs	-290	-257
Other fee and commission expense	-967	-835
Total fee and commission expense	-3,813	-3,541
Net fee and commission income	4,545	4,358

The distribution of fee and commission income by operating segments is presented in Note 4.
In 2025, the Group earned 83% of fee and commission income from Estonian residents and 17% from residents of other countries (mostly EU countries). In 2024, the Group earned 86% of fee and commission income from Estonian residents and 14% from residents of other countries (mostly EU countries). All fee and commission income are recognised point in time.

Note 7 Payroll expenses

	2025	2024
Wages and salaries	-17,115	-16,481
Social tax, unemployment insurance premiums	-7,291	-6,930
Total	-24,406	-23,411

Social security tax payments include a contribution to state pension funds in amount 531 (2024: 266) thousand euros. Group has no legal or factual obligation to make pension or similar payments beyond social security tax. In 2025, the average number of employees of the Group (reduced to full-time equivalents) was approximately 452 (2024: 433).

Note 8 Operating expenses

	Note	2025	2024
Administration of information systems		-2,788	-2,486
Marketing expenses		-1,856	-2,690
Contributions to Deposit Guarantee Fund		-1,473	-1,899
Training and travel expenses		-595	-656
Office expenses		-862	-840
Services purchased		-451	-504
Utilities of leased premises		-210	-216
Financial supervision fee instalments		-442	-401
Auditor services		-230	-196
Short-term and low value leases	14	-209	-291
Legal services, state fees		-900	-582
Insurance		-82	-107
Membership fees		-51	-54
Transport expenses		-38	-57
Other operating expenses		-643	-733
Total		-10,830	-11,713

Note 9 Cash, cash balances at central banks and other deposits

	31.12.2025	31.12.2024
Cash on hand	4,288	1,766
Demand deposits at the Central Bank	443,316	299,380
Demand deposits at credit institutions and other financial institutions	22,128	24,216
Cash and cash equivalents	469,732	325,362
Base level of the mandatory reserve kept in the Central Bank*	18,985	18,316
Total	488,717	343,678

* Not included in cash and cash equivalents in the consolidated statement of cash flows.

Mandatory reserve at the Central Bank is the minimum amount that the bank must hold and this amount is not freely usable. The base rate of mandatory reserve kept at the Central Bank as of 31.12.2025 was 1% (31.12.2024: 1%) of all financing sources (deposits from customers and loans received). The reserve requirement is to be fulfilled as a monthly average in euros or in foreign securities preapproved by the Central Bank.

Note 10 Financial investments

	31.12.2025	31.12.2024
Government debt securities	51,746	30,912
Credit institutions	3,934	3,489
Debt securities of other non-financial companies	7,343	3,350
Total of debt securities	63,023	37,751
Shares of other non-financial companies	13	13
Total of equity instruments	13	13
Total of financial investments	63,036	37,764

As of 31.12.2025 debt securities of other non-financial companies in the amount of 4,517 thousand euros and debt securities of credit institutions in the amount of 471 thousand euros are recognized at amortized cost value. The remaining debt securities in the amount of 58,035 thousand euros and equity instruments in the amount of 13 thousand euros are recognized at fair value through changes in other comprehensive income.

As of 31.12.2024 all debt securities and equity instruments were recognized at fair value through changes in other comprehensive income.

Note 11 Loans and advances to customers

	31.12.2025	31.12.2024
Total receivables from private individuals	1,061,786	931,900
incl. consumer loans	103,179	108,146
incl. lease financing	95,429	95,903
incl. mortgage loans and other private loans	863,178	727,851
Total receivables from legal entities	1,071,726	860,769
incl. lease financing	85,711	98,823
incl. investment loan, overdraft facility and other business loans	986,015	761,946
Total receivables	2,133,512	1,792,669
Loss allowances of loans and advances	-19,421	-18,551
Total	2,114,091	1,774,118

The Bank uses segment-based classification when classifying loan products.

Finance lease receivables	31.12.2025	31.12.2024
Gross investment – lease payments receivable, incl.	202,129	223,499
up to 1 year	55,963	61,020
1-2 years	43,227	48,320
2-3 years	36,382	40,253
3-4 years	41,032	33,620
4-5 years	20,499	31,002
over 5 years	5,026	9,284
Future interest income	-20,398	-28,134
up to 1 year	-7,467	-10,491
1-2 years	-5,731	-7,589
2-3 years	-3,966	-5,174
3-4 years	-2,301	-3,165
4-5 years	-773	-1,410
over 5 years	-160	-305
Finance lease net investment *	181,731	195,365
up to 1 year	48,496	50,529
1-2 years	37,496	40,731
2-3 years	32,416	35,079
3-4 years	38,731	30,455
4-5 years	19,726	29,592
over 5 years	4,866	8,979

* Finance lease receivables gross investment includes accrued interest in the amount of 418 (31.12.2024: 570) thousand euros and contract fees in the amount of -1,010 (31.12.2024: -1,208) thousand euros.

Loan allowances	31.12.2025	31.12.2024
Balance at the beginning of the reporting period	-18,551	-16,394
Loss allowances during the reporting period*	-3,087	-4,914
Derecognised during reporting period due to sale or write-off of loans	2,217	2,757
Balance of allowance at the end of the reporting period	-19,421	-18,551

* Loss allowances on the loan portfolio during the reporting period differ from the credit loss allowance recognised in the statement of profit or loss. The difference is due to such receipts of past due loans written off earlier as uncollectible claims, which were received in the amount of 164 (2024: 148) thousand euros during the reporting period; due to loss allowances in the amount of -345 (2024: -22) thousand euros from the exposures related to the off-balance sheet and due to loss allowances related to the Investments in debt securities.

For credit risk exposures and loan collateral, see Credit Risk management section in Note 2.
Distribution of loans granted by currencies is disclosed in Market Risk management in Note 2.
Distribution of loans granted by maturity is disclosed in Liquidity Risk management in Note 2.
The geographical distribution of loans granted is disclosed in Concentration of Risk in Note 2.
For interest income on loans granted, see Note 5.

Note 12 Other financial assets and other assets

	31.12.2025	31.12.2024
Financial assets		
Security deposits	20	20
Amounts receivable	546	533
Other financial assets	175	1,057
Total financial assets*	741	1,610
Other assets		
Settlements with the Tax and Customs Board	1	299
Other prepayments**	1,717	1,736
Total other assets	1,718	2,035
Assets held for sale		
Real estate acquired for sale and properties under construction	1,190	1,099
Other assets	66	41
Total assets held for sale	1,256	1,140

*Financial assets have a good credit quality and there are no indications of impairment.

** Other prepayments include insurance, communication services, periodicals, training and other similar prepayments.

Note 13 Tangible and intangible assets

	Right-of-use assets	Land and properties	Other tangible assets	Internal developments related to banking software	External developments and licences related to banking software	Total
Carrying amount 31.12.2023	5,380	118	3,628	6,374	4,465	19,965
Acquisition and additions	464	0	787	4,717	1,132	7,100
Termination of lease contracts	-13	0	0	0	0	-13
Adjustments	-6	0	0	-10	-20	-36
Sale at carrying amount	0	0	-52	0	0	-52
Depreciation charged	-718	-2	-1028	-2231	-1473	-5,452
Carrying amount at 31.12.2024						
Incl. acquisition cost	9,253	136	7,573	13,946	13,214	44,122
Incl. depreciation	-4,146	-20	-4,238	-5,096	-9,110	-22,610
Carrying amount 31.12.2024	5,107	116	3,335	8,850	4,104	21,512
Acquisition and additions	0	0	1,128	5,236	995	7,359
Termination of lease contracts	0	0	0	0	0	0
Adjustments	402	0	-4	0	-16	382
Sale at carrying amount	0	0	-1	0	0	-1
Depreciation charged	-773	-3	-1032	-2,968	-1,479	-6,255
Carrying amount 31.12.2025						
Incl. acquisition cost	9,655	136	8,469	19,179	14,193	51,632
Incl. depreciation	-4,919	-23	-5,043	-8,061	-10,589	-28,635
Carrying amount 31.12.2025	4,736	113	3,426	11,118	3,604	22,997

Right-of-use assets include leases of property and real estate. Land and properties include office premises owned by the group. Other tangible assets include computer technology and office equipment, furniture and capitalised costs of office renovation.

Note 14 Lease liabilities

The Group rents various office spaces. Leases usually have a term of up to 5 years and the head office rental agreement is 10 years, but they usually include options for renewal and termination. Lease terms are agreed upon on a contract-by- contract basis and may include a variety of different terms. Rent agreements are recognised as right-of-use assets and liabilities. The maturity analysis of lease liabilities are disclosed in Note 2 Liquidity risk management.

	2025	2024
Beginning balance 01.01	5,153	5,417
Cash flows*	-606	-961
Interest expense	219	246
New leases	0	464
Terminated leases	0	-13
Ending balance 31.12	4,766	5,153

*In 2025, rent payments for several leased premises (including payments for leased premises in the Skyon commercial building) were indexed in accordance with the lease agreements.

In the statement of profit or loss, the following amounts are recognised in relation to lease agreements:

	2025	2024
Interest expense relating to leases (included in interest expenses) (Note 5)	219	246
Expense relating to short-term leases (included in operating expenses)	177	179
Expense relating to leases of low-value assets (included in operating expenses)	32	112

Note 15 Customer deposits

	31.12.2025	31.12.2024
Private individuals	1,056,702	967,891
Legal entities	984,182	907,423
Credit institutions	6,575	2,551
Total	2,047,459	1,877,865
Demand deposits	637,205	571,865
Term deposits	1,410,254	1,306,000
Total	2,047,459	1,877,865

Note 16 Loans received

	31.12.2025	31.12.2024
Legal entities	5,022	8,280
Central banks	72,039	0
Total	77,061	8,280

Note 17 Issued Debt Securities

On 13 March 2025, Coop Pank issued covered bonds with a total nominal value of EUR 250 million and a maturity of four years. This issuance represented the first series of covered bonds issued under Coop Pank's EUR 750 million covered bond programme. The covered bonds were issued in order to diversify funding sources. The covered bonds were listed on the Irish Stock Exchange. The credit rating agency Moody's confirmed the rating of Coop Pank's covered bonds at the level of Aa1.

in thousand euros	Year of issue	Interest rate	Maturity date	Amount
Covered bonds	2025	3.125%	20.03.2029	250,000
Cash flows from financing activities				249,235
Accrued interest				6,122
The amortised cost adjustments, incl. transaction costs				173
Fair value hedge adjustment				-327
Issued debt securities as at 31 December 2025				255,203
Interest expenses calculated during 2025 (Note 5)				-6,129
of which interest expense on issued debt securities				-6,355
of which net result of hedging derivative instruments				226

In the second half of 2025, Coop Pank issued retained covered bonds to its own portfolio in a total amount of EUR 200,000 thousand, with a maturity date of 14 June 2030 and based on interest index of 6-month EURIBOR + 50 basis points. This position is retained in the Bank's own holdings. Retained covered bonds are eligible as collateral (including with the central bank) and may be used in liquidity-providing operations.

Note 18 Other financial liabilities and other liabilities

	31.12.2025	31.12.2024
Financial liabilities		
Cash in transit	3,148	8,754
Customer advances	2,303	2,642
Card clearing	77	128
Balance of terminated customer contracts	5,952	1,479
Trade payables	859	850
Settlements with cooperatives	199	579
Other financial liabilities	692	1,011
Total financial liabilities	13,230	15,443
Other liabilities		
Payables to employees	3,338	3,675
Tax liabilities	2,598	2,042
Provisions for ECL on commitments and guarantees	828	483
Deferred liabilities	764	474
Other advance payments	56	414
Total other liabilities	7,584	7,088
Total	20,814	22,531

Note 19 Subordinated debt

The Coop Pank group has issued subordinated bonds and entered into a subordinated loan agreement in order to increase long-term capital. In the case of default of the Group, the subordinated debt is repayable after all other debts have been paid, but before debts to shareholders are paid. The balances of subordinated debt as at the end of each reporting period is disclosed in the table below.

	Year of issue	Interest rate	Maturity date	Amount
Subordinated bond	2019	7.58%	29.03.2029	2,000
Subordinated bond	2021	5.50%	31.03.2031	10,000
Subordinated bond	2022	5.00%	10.03.2032	10,000
Subordinated bond (Tier 1)	2022	10.00%	perpetual*	16,100
Subordinated bond (Tier 1)	2023	12.00%	perpetual*	12,000
Cash flows from financing activities				50,100
Subordinated debt as at 31.12.2023				50,100
Subordinated bond redeemed**	2019	7.58%	29.03.2029	-2,000
Subordinated loan agreement (Tier 2)	2024	3.25%+6m EURIBOR	12.01.2034	15,000
Cash flows from financing activities				13,000
Subordinated debt as at 31.12.2024				63,100
Cash flows from financing activities				0
Subordinated debt as at 31.12.2025				63,100

Subordinated debt accrued interest as at 31.12.2023	87
Interest expenses calculated during 2024 (Note 5)	5,022
Paid out interest expense during 2024	-5,061
Subordinated debt accrued interest as at 31.12.2024	48
Interest expenses calculated during 2025 (Note 5)	4,934
Paid out interest expense during 2025	-4,934
Subordinated debt accrued interest as at 31.12.2025	48

* Bonds have no fixed redemption date, but the Issuer has the right to redeem them in accordance with the conditions set out in CRR being met and not before five years from issuance.
**The Bank has used the call option and redeemed the subordinated bond in full after the respective approval of the Financial Supervisory Authority in accordance with the Tier 2 Requirements.

Accrued interest liabilities of subordinated debt are accounted in the statement of financial position using the effective interest rate.

Note 20 Equity

Equity	Time	Number of shares	Strike price, in euros	Share capital, in thousands of euros	Share premium, in thousands of euros
Share capital as at 31.12.2023		102,241,307		69,673	25,779
Paid in share capital	May 2024	745,000	1.10	508	932
Share capital as at 31.12.2024		102,986,307		70,181	26,711
Paid in share capital	June 2025	670,900	1.255	457	1,422
Share capital as at 31.12.2025		103,657,207		70,638	28,133

The share capital issue in 2025 and 2024 was related only to the exercising of employee share options. As at 31.12.2025 the share capital of the bank is 70,638 (31.12.2024: 70,181) in thousands of euros, which was divided into 103,675,207 (31.12.2024: 102,986,307) ordinary shares of no par value. The carrying value of one share is 0.6815 euros (31.12.2024: 0.6815).

According to the articles of association, share capital can be increased to 160 million euros without any amendment to the articles of association. In 2025 Coop Pank AS used the right to increase the share capital by 457 in thousands of euros in connection with the option programme, i.e. from the amount 70,181 in thousands of euros up to the amount 70,638 in thousands of euros. The total proceeds of the subscription were 842 thousand euros. The issue price was 1.255 euros per share, of which 0.6815 euros is the book value and 0.5735 euros is the share premium. In 2024 Coop Pank AS used the right to increase the share capital by 508 in thousands of euros in connection with the option programme, i.e. from the amount 69,673 in thousands of euros up to the amount 70,181 in thousands of euros. Shares were paid for fully in cash. The total proceeds of the subscription were 820 thousand euros. The issue price was 1.10 euros per share, of which 0.6815 euros is the book value and 0.4185 euros is the share premium.

In the spring of 2024, Coop Pank paid dividends to shareholders at a rate of 0.087 euros (net) per share from the profit of the year 2023, in the total net amount of 8,895 in thousands of euros. Part of the dividends (1/3 from dividends paid out in 2022 and 2023) were taxed at a preferential rate of 14/86 and the remaining part at a rate of 20/80.

In the spring of 2025, Coop Pank paid dividends to shareholders at a rate of 0.07 euros (net) per share from the profit of the year 2024, in the total net amount of 7,209 in thousands of euros and additionally tax on net dividends with tax rate 22/78 in total amount of 2,033 thousands of euros was paid.

As of 31.12.2025 according to the dividend policy it is possible to pay out dividends to shareholders at a rate of 0.065 euros (net) per share in the total net amount of 6,738 thousand euros. The potential dividends would be taxed at a rate of 22/78.
Income tax expense information is presented in Note 25.

The bank grants share options to members of the management board, department managers and key employees. The vesting period of the options is 3 years and the issue of shares will be decided in the Annual General Meeting of Shareholders or Meeting of the Shareholders close to the vesting date. The reserve of options granted as of 31.12.2024 amounted to 1,739 (2024: 1,825) thousand euros. Related expenses in the statement of profit and loss in 2025 were 951 (2024: 952) thousand euros and 1,037 (2024: 620) thousand euros were transferred from reserve to share premium in relation to exercising the options. The fair value of options is calculated using the Black-Scholes model, which uses the share price of the bank, strike price, volatility and risk-free interest rate as inputs. In case of options issued in 2025 the main input values used are: share price of the bank 2.105 (2024: 2.3856) euros, strike price 1.053 (2024: 1.875) euros volatility 11% (2024: 15%) and risk-free interest rate 1.9% (2024: 2.6%). Employees do not have the possibility to take the specified amount in cash in lieu of the share options. Share options cannot be exchanged, sold, pledged or encumbered. Share options can be inherited. The contract of share options will expire if the employee is leaving the company before the vesting period, but the Supervisory Board can decide otherwise. In 2025, the options for 670,900 shares were exercised with strike price 1.255 euros per share (2024: 745,000 shares with strike price 1.10 euros). The actual share price on the date when the options were exercised was 2.14 euros (2024: 2.27 euros). The bank may issue share options for the results of 2025.

Transactions with options	Number of options
As at 31.12.2023	2,256,500
Granted	1,022,000
Exercised	-745,000
Forfeited	-53,200
As at 31.12.2024	2,480,300
Granted	953,800
Exercised	-670,900
Forfeited	-31,700
As at 31.12.2025	2,731,500

Valid options as of 31.12.2025 are subject to exercising.

Date of issue	Expiry date	Share price	Number of options
April 2023	April 2026	1.5260	785,800
April 2024	April 2027	1.8750	991,900
April 2025	April 2028	1.0530	953,800
Total options to be exercised		1.4876	2,731,500

According to the requirements of § 336 of the Commercial Code, during each financial year, at least 1/20 of the net profit shall be transferred to the statutory reserve, until the statutory reserve reaches 1/10 of the share capital. Once the statutory reserve capital reaches the amount specified in the Commercial Code, no more transfers on account of the net profit will be made to the statutory reserve capital. On a basis of a decision of the general meetings of shareholders, statutory reserve capital may be used to cover losses, as well as to increase share capital. Distributions to shareholders from the statutory reserve capital are not permitted.

Note 21 Financial guarantees and loan commitments

	31.12.2025	31.12.2024
Financial guarantees	29,539	18,498
Lines of credit and overdraft facilities	212,841	133,090
Total	242,380	151,588

The Group applies the expected credit loss model for contingent liabilities, see Note 2. As of 31.12.2025, 828 (31.12.2024: 483) thousand euros was accounted for as ECL provision for financial guarantees and loan commitments (Note 18).

The tax authorities may at any time inspect the books and records of the company within 5 years subsequent to the reported tax year and may as a result of their inspection impose additional tax assessments and penalties. The management is not aware of any circumstances which may give rise to a potential material liability in this respect.

Note 22 Litigations

In 2025, there were 12 lawsuits pending in courts against the Group (i.e., where the Group company is in the role of defendant or involved as a third party on the defendant's side). Several disputes are related to the termination of payment service agreements, and in some cases, the parties are contesting the ownership or size of a property. One dispute concerns a claim by a debt collection company for the re-transfer of unsecured loan agreements that were previously assigned to it by the Group. According to management's assessment, the potential impact of these disputes is not material.

Note 23 Related parties

The following persons or entities have been considered as related parties for the purpose of preparing the consolidated financial statements:

- Shareholders of the parent company that have significant influence over the Group;
- The Management of the Group that includes members of the Management Board and the Supervisory Board of the parent company and entities related to them;
- Close relatives of the above persons, who have the same economic interest and entities related to them.

The terms of the loans granted to related parties do not differ from the loans granted to other customers with regard to interest rates. Interest rates on loans are in the range of 3.59-6.60%, on leasings in the range of 3.41-4.66% and on credit cards around 18%. Interest rates on deposits are in the range of 0.01-3.35%. Transactions with related parties are based on the price list and/or are carried out at market value. There were no transactions with the biggest shareholder Coop Investeeringud OÜ, who holds 21.86% of shares.

Balances	31.12.2025	31.12.2024
Shareholders:		
Deposits	14,117	11,162
Members of the Management Board and Supervisory Board:		
Loans	658	252
Deposits	763	867
The persons or entities related to the Management:		
Loans	6,725	1,889
Deposits	9,011	8,748

Related party receivables have not been written down during the reporting period.

Transactions	2025	2024
Shareholders:		
Interest expense	149	439
Members of the Management Board and Supervisory Board:		
Interest income	25	7
Interest expense	19	26
Sale of other goods and services	0	2
Salaries and other remunerations paid	1,093	958
The persons or entities related to the Management:		
Interest income	266	110
Interest expense	292	334

Maximum termination benefits payable to members of the Management Board on a contingent basis is 492 thousand euros (31.12.2024: 372). The Group does not have any other long-term or post-employment benefits to the members of the Management Board and the Supervisory Board.

The share options issued to members of the Management Board are provided in the tables below.

Transactions with options	Number of options
As at 31.12.2023	691,700
Granted	422,300
Exercised	-270,000
Forfeited	0
As at 31.12.2024	844,000
Granted	431,400
Exercised	-212,100
Forfeited	0
As at 31.12.2025	1,063,300

Valid share options issued to members of the Management Board as of 31.12.2025 are subject to exercising.

Date of issue	Expiry date	Share price	Number of options
April 2023	April 2026	1.5260	209,600
April 2024	April 2027	1.8750	422,300
April 2025	April 2028	1.0530	431,400
Total options to be exercised		1.4727	1,063,300

Note 24 Basic earnings and diluted earnings per share

In order to calculate basic earnings per share, net profit attributable to owners of the parent has been divided by the weighted average number of shares issued. In order to calculate diluted earnings per share, net profit attributable to owners of the parent has been divided by the diluted weighted average number of shares, taking into account the potential shares covered by options contracts.

	31.12.2025	31.12.2024
Profit attributable to the owners of the parent (in thousands of euros)	28,724	32,178
Weighted average number of shares (in thousands of units)	103,389	102,688
Basic earnings per share (euros)	0.28	0.31
Adjustments for calculation of diluted earnings per share – share options (in thousands of units)	2,632	2,401
Weighted average number of shares used for calculating the diluted earnings per share (in thousands of units)	106,021	105,089
Diluted earnings per share (euros)	0.27	0.31

Note 25 Income tax expense

The annual profit earned by enterprises is not taxed in Estonia and thus there are no temporary differences between the tax bases and carrying values of assets and liabilities and no deferred tax assets or liabilities arise (except for recognising a deferred tax liability for all taxable differences associated with investments in subsidiaries, associates and branches, unless it is probable that the temporary difference will not reverse in the foreseeable future).

In connection to the amendments to the Income Tax Act, starting from 2018 credit institutions are obliged to pay an advance income tax on previous quarter net income before income tax. The tax rate was 14% until the end of 2024, increasing to 18% starting from the first quarter of 2025. Income tax is calculated based on unconsolidated profit of the credit institution, which is the parent company. Advance income tax does not apply to the profits of subsidiaries and are presented as non-taxable income in the table below. Advance income tax paid can be taken into account on the distribution of profits and the calculation of the related income tax liability. In calculating income tax, the profit is reduced by the dividends received and the profit attributed to the permanent establishment to which the exemption method is applied in order to avoid double taxation. Secondly, the profits will be reduced by losses earned in the previous quarters.

Income tax is recognised in the consolidated statement of profit or loss as income tax expense in the period in which the basis for calculating the income tax is calculated, regardless of when the income tax is paid.

Income tax expense	2025	2024
Profit before tax	34,566	36,664
incl. non-taxable income	2,113	4,623
Advance income tax for credit institutions	-5,842	-4,658
Effective tax rate	17%	12%

Income tax liabilities	2025	2024
Balance as at 01.01	957	2,280
Accrual income tax recognised	5,842	4,486
Paid income tax	-5,494	-5,809
Balance as at 31.12	1,305	957

In 2025 the bank had paid advance income tax for credit institutions in the amount of 5,494 (2024: 5,809) thousand euros.

On May 6, 2024, Coop Pank paid dividends from the profit of the year 2023 in the total net amount of 8,895 thousand euros. Part of the dividend (1/3 from dividends paid out in 2022 and 1/3 from dividends paid out in 2023) was taxed at a preferential rate of 14/86 in the amount of 396 thousand euros and the remaining part at a tax rate of 20/80 in the amount 1,615 thousand euros. The total related income tax charge on dividends was 2,011 thousand euros. The income tax liability calculated on net dividends was offset against the advanced income tax for credit institutions paid by the bank.

On May 6, 2025, Coop Pank paid a dividend of 0.07 euros (net) per share from the profit earned in 2024, in the total net amount of 7,209 thousand euros. The dividend was taxed at an income tax rate of 22/78 in the amount of 2,033 thousand euros. The income tax liability calculated on net dividends was offset against the advanced income tax for credit institutions paid by the bank.

According to the dividend policy as of 31.12.2025 it is possible to pay out dividends to shareholders in the net amount of 6,738 thousand euros from the profit of the 2025 financial year, that would be taxed at an income tax rate of 22/78 in the amount of 1,900 thousand euros. The Bank has paid sufficient advance income tax for credit institutions in 2025 or earlier to cover the income tax liability calculated on dividends.

Information related to paid dividends is presented in Note 20.

Note 26 Events after balance sheet date

In December 2025, the Bank signed a subordinated loan agreement with the European Energy Efficiency Fund for an additional EUR 5,000 thousand subordinated loan eligible to Tier 2 capital. The loan amount was fully drawn in February 2026.

On 21st of January 2026 Supervisory Board of the Bank has appointed Alvar Pihlapuu as a new member of the Management Board of the Bank.

Note 27 Separate financial statements of parent company

Statement of Profit or Loss and Other Comprehensive income of parent company

	2025	2024
Interest income calculated using the effective interest method	123,104	131,502
Interest and similar expense	-53,078	-61,130
Net interest income	70,026	70,372
Fee and commission income	7,202	6,218
Fee and commission expense	-3,813	-3,461
Net fee and commission income	3,389	2,757
Net gains from non-financial asset realisation	0	53
Net gains from financial assets measured at fair value through other comprehensive income	251	33
Handling of overdue receivables	582	408
Other income	845	200
Net other income	1,678	694
Payroll expenses	-23,101	-22,052
Operating expenses	-10,303	-10,707
Depreciation	-6,141	-5,233
Total operating expenses	-39,545	-37,992
Profit before loss allowances and tax	35,548	35,831
Credit loss allowance	-6,073	-3,791
Profit before tax	29,475	32,040
Income tax expense	-5,841	-4,486
Net profit for the financial year	23,634	27,554
Other comprehensive income / loss (-)		
Items that may be subsequently reclassified as profit or loss:		
Financial assets at fair value through other comprehensive income	-402	757
Comprehensive income / loss (-) for the financial year	23,232	28,311

Statement of Financial Position of parent company

	31.12.2025	31.12.2024
Assets		
Cash and cash equivalents	469,729	325,361
Mandatory reserve kept in the Central Bank	18,985	18,316
Debt securities at fair value through other comprehensive income	58,035	37,751
Debt securities at amortized cost	4,988	0
Equity instruments at fair value through other comprehensive income	13	13
Loans and advances to customers	2,102,629	1,768,155
Derivatives	3,681	0
Investments in subsidiaries	551	551
Other financial assets	804	1,750
Other assets	1,697	1,724
Right-of-use assets	4,736	5,107
Tangible assets	3,539	3,451
Intangible assets	14,148	12,354
Goodwill	6,757	6,757
Total assets	2,690,292	2,181,290
Liabilities		
Customer deposits	2,048,805	1,878,993
Loans received	77,061	8,280
Debt securities	255,203	0
Lease liabilities	4,766	5,153
Other financial liabilities	12,206	13,579
Other liabilities	7,332	8,182
Subordinated debt	63,148	63,148
Total liabilities	2,468,521	1,977,335
Shareholders' equity		
Share capital	70,638	70,181
Share premium	28,133	26,711
Statutory reserve capital	8,424	6,815
Retained earnings	112,941	98,125
Other reserves and assets revaluations	1,635	2,123
Total shareholder's equity	221,771	203,955
Total liabilities and shareholders' equity	2,690,292	2,181,290

Statement of Cash Flows of parent company

	2025	2024
Cash flows from operating activities		
Interest and other similar income received	119,321	130,555
Interest paid	-50,271	-64,346
Fees and commissions received	7,202	6,218
Fees and commissions paid	-3,813	-3,461
Other received income	1,427	1,445
Salaries paid	-23,493	-21,255
Other operating expenses paid	-10,303	-10,512
Advance Income Tax paid	-5,494	-5,809
Total cash flows from operating activities before changes in operating assets and liabilities	34,576	32,835
Change in operating assets:		
Loans and advances to customers	-340,300	-282,106
Change of base level of the reserve kept in the Central Bank	-669	-1,218
Other assets	1,011	-3,463
Change in operating liabilities:		
Change in customer deposits	173,126	168,891
Change in loans received	68,781	-1,402
Other liabilities	-2,045	3,543
Net cash flows from operating activities	-65,520	-82,920
Cash flows from investing activities		
Acquisition of tangible and intangible assets	-7,271	-6,360
Sale of tangible and intangible asset and assets held for sale	1	52
Acquisition of debt securities	-40,010	-2,342
Sale and redemption of debt securities	15,210	1,253
Increase of subsidiary's equity	-300	-601
Merger with a subsidiary	0	1,061
Total cash flows used in investing activities	-32,370	-6,937
Cash flows from financing activities		
Paid in share capital	842	820
Issue of subordinated debt	0	15,000
Redemption of subordinated bonds	0	-2,000
Dividends paid	-7,209	-8,895
Debt securities	249,235	0
Repayment of lease liabilities	-606	-961
Total cash flows from financing activities	242,262	3,964
Effect on exchange rate changes on cash and cash equivalents	-2	-1
Change in cash and cash equivalents	144,370	-85,894
Cash and cash equivalents at beginning of the period	325,360	411,254
Cash and cash equivalents at the end of the period	469,730	325,360
Cash and cash equivalents balance is comprised of:	469,730	325,360
Cash on hand	4,288	1,766
Demand deposits at the Central Bank	443,316	299,380
Demand deposits at credit institutions and other financial institutions	22,126	24,214

Statement of Changes in Equity of parent company

	Share capital	Share premium	Statutory reserve capital	Other reserves	Revaluation reserve	Retained earnings	Total shareholder's equity
Equity as at 31.12.2023	69,673	25,779	4,855	1,493	-459	39,103	140,444
Paid in share capital	508	932	0	-620	0	0	820
Dividends paid	0	0	0	0	0	-8,895	-8,895
Merger with a subsidiary	0	0	0	0	0	42,323	42,323
Changes in statutory reserve capital	0	0	1,960	0	0	-1,960	0
Share options	0	0	0	952	0	0	952
Net profit	0	0	0	0	0	27,554	27,554
Other comprehensive income	0	0	0	0	757	0	757
Total comprehensive income	0	0	0	0	757	27,554	28,311
Equity as at 31.12.2024	70,181	26,711	6,815	1,825	298	98,125	203,955
Paid in share capital	457	1,422	0	-1,037	0	0	842
Dividends paid	0	0	0	0	0	-7,209	-7,209
Changes in statutory reserve capital	0	0	1,609	0	0	-1,609	0
Share options	0	0	0	951	0	0	951
Net profit	0	0	0	0	0	23,634	23,634
Other comprehensive income	0	0	0	0	-402	0	-402
Total comprehensive income	0	0	0	0	-402	23,634	23,232
Equity as at 31.12.2025	70,638	28,133	8,424	1,739	-104	112,941	221,771

In accordance with the Estonian Accounting Act, adjusted unconsolidated retained earnings are the amount that a company may use to make distributions to shareholders. A reconciliation of the parent company's equity with its adjusted unconsolidated equity is presented in the table below.

Adjusted unconsolidated equity	
Book value of holding under control or significant influence	-551
Value of holdings under control or significant influence, calculated by equity method	13,323
Adjusted unconsolidated equity as at 31.12.2025	234,543

Management Board declaration

The Management Board has prepared the management report and the consolidated financial statements of Coop Pank AS for the financial year ended 31 December 2025.

The Management Board confirms that according to their best knowledge the consolidated financial statements of Coop Pank AS for the year 2025, prepared in accordance with current international financial reporting standards as adopted by the European Union, provide a true and fair view of the assets, liabilities, financial position and financial performance of the Coop Pank AS, consisting of the parent company and other consolidated entities as a whole, and the management report of the Coop Pank AS also gives a true and fair view of the business activities, financial performance and financial position, and contains a description of the main risks and uncertainties.

The 2025 consolidated annual report of Coop Pank AS will be presented to the general meeting of shareholders for approval in April 2026. The previous 2024 consolidated annual report was approved by the general meeting of shareholders on 16 April 2025.

Arko Kurtmann	Chairman of the Management Board	/Signed digitally/	10.03.2026
Paavo Truu	Member of the Management Board	/Signed digitally/	10.03.2026
Alvar Pihlapuu	Member of the Management Board	/Signed digitally/	10.03.2026
Heikko Mäe	Member of the Management Board	/Signed digitally/	10.03.2026
Karel Parve	Member of the Management Board	/Signed digitally/	10.03.2026
Lehar Kütt	Member of the Management Board	/Signed digitally/	10.03.2026

Proposal for profit allocation

The Management Board of Coop Pank AS proposes to the General Meeting of the Shareholders to allocate the Group's net profit for the financial year 2025 in the amount of 28,724 thousand euros as follows:

1. pay dividends 0.065euro per share in the total net amount of 6,738 thousand euros, related income tax on dividend would be 1,900 thousand euros;
2. allocate 1,436 thousand euros to statutory reserve capital;
3. allocate 20,550 thousand euros to retained earnings.

Revenues by EMTA classification (the Estonian classification of economic activities)

Title	**Economic activity based on EMTAK**	**Code**	**Sales income (in euros)**
Finance activities	Credit institutions (consolidated)	64191	136,244,117
Finance activities	Credit institutions (separate)	64191	131,983,889
Leasing activities	Finance lease	64911	11,798,950
Insurance activities	Insurance brokerage	66221	920,427